

characteristics of trading success. For Ramsey, however, I suspect such commitment is not a burden, as trading is a passion, not a chore.

¹The term *Commodity Trading Advisor* is the official designation for managers registered with the Commodity Futures Trading Commission (CFTC) and members of the National Futures Association (NFA), and is a misnomer on at least two counts: (1) A CTA is a fund or account manager with direct investment responsibility and not an advisor as the name appears to suggest. (2) CTAs do not necessarily trade only commodities as the name implies. The vast majority of CTAs also trade futures contracts in one or more financial sectors including stock indexes, fixed-income, and FX. And, ironically, many CTAs do not trade any commodities at all, but trade only financial futures.

²I would argue that return/risk is a more meaningful metric than return for other strategies as well, but for futures trading this contention is a statement of fact rather than opinion.

³Commodity futures markets have a specified maximum amount the price can move on any given day—that is, the daily limit. In markets where the natural clearing price, or cash price, is below the daily limit, the market will open up limit down and not trade. Although there are lots of willing sellers, no one is willing to buy at a price that is above the cash market price. The market will remain “locked” limit down until the futures price reaches the cash market price. The episode Ramsey is referring to represents the longest string of consecutive limit down days that has ever occurred in any futures market.

⁴John Murphy, *Technical Analysis of the Futures Markets* (New York: New York Institute of Finance, 1986).

⁵Strong economic conditions are bearish for bonds because they lead to higher interest rates.

⁶QE2 was the Fed’s second round of quantitative easing (buying longer-duration treasuries and other securities to lower longer-term rates) that began in November 2010 and ended in June 2011.

⁷In a Turkish lira/dollar chart, a new *low* in the lira would show up as a new *high*—that is, it would take more lira to buy each dollar.

⁸Ramsey is referring to the chart. So a relative low would represent a point of relative lira strength—that is a point at which it took less lira to buy one